1300 Pennsylvania Avenue, NW
Washington, DC 20229

U.S. Customs and
Border Protection

PUBLIC VERSION

March 26, 2025

Juan Jose Rio
JBS Trading LLC
2020 W McNab Road
Suite 120
Fort Lauderdale, FL 33309
jrio@jbstrades.com

Matthew L. Kanna
On behalf of CP Kelco U.S., Inc.
Greenberg Traurig LLP
2101 L Street, N.W., Suite 1000
Washington, DC 20037
kannam@gtlaw.com

Re: EAPA Case No. 7889 - Notice of Determination as to Evasion

---

To Counsel or Representative for the above-referenced Entities:

Pursuant to an examination of the record in Enforce and Protect Act ("EAPA") Case 7889, U.S. Customs and Border Protection ("CBP") has reached a determination as to whether JBS Trading LLC ("JBS Trading" or "importer") evaded the antidumping ("AD") order A-570-985 on xanthan gum from the People's Republic of China ("China").[1] CBP determined there is substantial evidence that JBS Trading entered covered merchandise for consumption into the customs territory of the United States through evasion, by importing into the United States Chinese-origin xanthan gum that was undervalued.

Background

Allegation and Initiation

---

[1] *See Xanthan Gum from the People's Republic of China: Amended Final Determination of Sales at Less Than Fair Value and Antidumping Duty Order*, 78 FR 43143 (U.S. Department of Commerce, July 19, 2013) ("*Order*").

On April 11, 2024, CP Kelco U.S., Inc. ("CP Kelco") filed an EAPA allegation, which was subsequently supplemented, against the importer.[2] On May 2, 2024, CBP acknowledged receipt of the properly filed EAPA allegation.[3]

CP Kelco contends that JBS Trading imported into the United States xanthan gum produced in China and undervalued those imports, thereby failing to pay adequate AD cash deposits. On May 23, 2024, the Trade Remedy Law Enforcement Directorate ("TRLED"), within CBP's Office of Trade, initiated an investigation under EAPA against JBS Trading after finding that the Allegation and information available to CBP reasonably suggests evasion.[4] In assessing the claims made and information provided in the Allegation, TRLED found that the information provided by CP Kelco, in conjunction with other information available to TRLED, reasonably suggested that JBS Trading engaged in attempts to evade the *Order* by undervaluing entries of xanthan gum subject to the *Order*.[5] The information submitted by CP Kelco supporting its allegation of evasion by JBS Trading is summarized below.

As noted in the Initiation Memo, CP Kelco submitted commercial trade data reasonably available to it that indicates JBS Trading may have entered into the United States xanthan gum that originated from China, and that it was undervalued at the time of entry, which would result in much lower AD cash deposits than if it had been entered with a proper valuation. This commercial trade data indicate multiple shipments of xanthan gum from Mexico to JBS Trading valued at $0.22 per kilogram.[6] The Initiation Memo also noted CP Kelco provided evidence of various other xanthan gum transactions involving other parties which were valued many times higher (at least 25 times greater in each instance) than the aforementioned $0.22 per kilogram valuation of the JBS Trading transactions.[7] Those transactions involved a variety of countries, U.S. ports, and U.S. customers during the same general time period.[8] CBP noted that some of these other transactions include oil field grade xanthan gum, which the United States International Trade Commission ("USITC") has indicated are typically less costly than other, higher purity grades of xanthan gum; so, even if the JBS Trading shipments were of such low purity grades, their valuation at $0.22 per kg is considerably lower than the values of contemporaneous transactions for other similar xanthan gum grades.[9]

Furthermore, CBP determined that JBS Trading entered merchandise in various months during the period of investigation ("POI") that were identified as country of origin [location] and under the xanthan gum HTSUS subheading specified in the *Order*, and, for those [frequency] entries

---

[2] *See* submission from CP Kelco, dated April 11, 2024. On April 25, 2024, CP Kelco submitted a supplement to the allegation. *See* submission from CP Kelco, dated April 25, 2024 ("Supplement to Allegation"). Both of these submissions will be referred to collectively as "the Allegation."
[3] *See* TRLED email, "EAPA 7889 – Official Receipt of Allegation," dated May 2, 2024. Therefore, the entries covered by the POI are those entered for consumption, or withdrawn from warehouse for consumption, on May 2, 2023, through the pendency of this investigation. *See* 19 C.F.R. § 165.2.
[4] *See* Initiation of Investigation for EAPA Case Number 7889, dated May 23, 2024 ("Initiation Memo").
[5] *See* Initiation Memo at 3-5.
[6] *Id.* at 2-3.
[7] *Id*. at 3.
[8] *Id.*
[9] *Id*. at 4.

[duration], [valuation] the $0.22 per kilogram unit value referenced in the Allegation.[10]

Consequently, CBP found that there was sufficient information to reasonably suggest that appropriate amounts of AD cash deposits were not paid on covered entries of xanthan gum from China imported by JBS Trading during the POI.[11]

Notice of Initiation of Investigation and Interim Measures

Prior to the initiation of the EAPA investigation, CBP, on August 17, 2023, issued a Customs Form 28 ("CF28") request for information to JBS Trading for various entry numbers, including entry number [number]8802 ("Entry 8802"), and issued another CF28 to JBS Trading, on October 31, 2023, for entry number [number]6268 ("Entry 6268").[12] In the CF28s, CBP asked JBS Trading to provide various information pertaining to the entries in question, which had been entered as country of origin other than China, and as an entry type indicating the merchandise was not subject to the *Order*. Subsequent to JBS Trading's CF28 responses, for each of the entries in question, CBP issued a Customs Form 29 ("CF29") proposing conversion of the entries to country of origin [location] and to type [#], subject to the *Order*. JBS Trading did not submit a response to those proposals, and CBP subsequently made the proposed changes.[13]

After the start of the EAPA investigation, on June 4, 2024, CBP issued an additional CF28 to JBS Trading that covered both Entry 8802 and Entry 6268.[14] In this CF28, CBP asked JBS Trading to provide the following information for the entries in question: the value of each purchase; the total paid for each purchase; and proof of payment.

On July 2, 2024, JBS Trading provided its response to the June 4, 2024, CF28. The entered unit values for these entries' merchandise were $[#] per kilogram. JBS Trading provided documentation of pricing and payment to what was explained to be a "[business relationship]" of the exporter. JBS Trading indicated the xanthan gum, [description], had "[event]," and had been [business action] xanthan gum. JBS Trading indicated the "[market evaluation]," but provided no supporting documentation for this claim.[15]

In its analysis of the information on the record, CBP noted that CP Kelco, by correlating ship manifest data compiled by Descartes Datamyne with official U.S. import data, had identified

[10] *Id.*, citing TRLED Receipt Report documentation, dated May 2, 2024.
[11] *Id.* at 5.
[12] *See* Notice of Initiation of Investigation and Interim Measures: EAPA Case 7889, dated August 28, 2024 ("NOI") at 4, citing the CF28 dated August 17, 2023, for Entry 8802, and the CF28 dated October 31, 2023, for Entry 6268. The entry dates for both, as evident from the CF28 documents, were during the POI. *Id.*
[13] *Id.*, citing the CF29 dated November 30, 2023, for Entry 8802, and the CF29 dated March 19, 2024, for Entry 6268.
[14] *Id.*, citing the CF28 dated June 4, 2024.
[15] *Id.*, citing the July 2, 2024, CF28 response of JBS Trading.

entries of [description] xanthan gum from Mexico valued at $[#] per kilogram.[16] CBP stated that even if the merchandise imported by JBS Trading had been [action] from [description] grade to [description] grade due to [event], as indicated by JBS Trading, the aforementioned [description] grade value information submitted with the Allegation, and cited in the Initiation Memo analysis, indicates shipments to JBS Trading occurred with a unit value that was a small fraction of other xanthan gum transactions, including some [description] grade transactions.[17] Also, CBP noted that, based on public U.S. trade data for May 2023 (the month in which the beginning of the POI falls) through May 2024 (the most recent month for which data were available at the time the data were retrieved), the average customs unit value of U.S. imports under the HTSUS classification for xanthan gum for almost every one of the several hundred country/district/month combinations exceeded the $[#] per kilogram value for JBS Trading entries by many times.[18] This suggests that the unit values of JBS Trading's entries of xanthan gum were valued at a significantly lower value than virtually all other entries of xanthan gum imported into the United States. CBP added that when the aforementioned two JBS Trading entries were made, the importer had originally misdeclared the country of origin as [location], which calls into question the accuracy of its characterizations of its transactions.[19] Based on this evidence, CBP found that there was reasonable suspicion that the xanthan gum entered into the United States by JBS Trading during the POI was undervalued, thereby resulting in underpayment of AD cash deposits under the *Order*. Consequently, CBP imposed interim measures pursuant to this investigation.[20]

Post-Interim Measures

Request for Information from Importer

On September 5, 2024, CBP issued via email a request for information ("RFI") to JBS Trading, with a response due date of September 19, 2024.[21] This RFI included questions and requests for documentation relating to JBS Trading corporate structure, accounting and financial practices, purchases and sales (including, but not limited to, identified transactions involving xanthan gum), and sales reconciliations. JBS Trading did not submit a response by that deadline, and on the following day, CBP instructed JBS Trading that it should submit its RFI response by September 26, 2024.[22] On September 23, 2024, JBS Trading requested an extension of fifteen days, and CBP responded that it was granting JBS Trading a fifteen day extension from the

---

[16] *Id*., citing Allegation at 8-9 and Attachments 11, 11.1, and 11.2.
[17] *Id.*
[18] *Id.* at 4-5, citing July 29, 2024, import data runs for 2023 and 2024 (year-to-date). Referencing those data, CBP indicated that "{o}f the approximately 400 country/district/month unit value averages for the month of May 2023 (the first month of the POI) through May 2024 (the final month of available data at the time of the aforementioned import data runs), about 98 percent were at least 13 times greater than $[#] per kilogram unit value of JBS Trading entries, and of the very few exceptions, most were [comparative description] as those of individual JBS Trading entries." *Id*. at 5 (footnote 23).
[19] *Id.* at 5. As noted above, CBP had reclassified the merchandise associated with those entries as subject to the *Order*.
[20] *Id.*
[21] *See* Sept. 5, 2024, email from TRLED to JBS Trading, and accompanying RFI.
[22] *See* Sept. 20, 2024, email from TRLED to JBS Trading.

original deadline of September 19, 2024, making the deadline October 4, 2024.[23] JBS Trading did not submit an RFI response by that deadline.

Requests for Information from Mexican Suppliers

CBP also issued RFIs to two suppliers to JBS Trading, [company name] ("Supplier One") and [company name] ("Supplier Two"), as discussed below.

On September 5, 2024, CBP issued via email an RFI to Supplier One, with a response due date of September 19, 2024.[24] On September 19, 2024, Supplier One requested a two-week extension to the deadline, and on the subsequent day CBP established a new deadline of October 3, 2024.[25] However, Supplier One did not submit an RFI response by that date. On October 7, 2024, CBP instructed Supplier One that it should submit its RFI response by October 11, 2024.[26] Later on October 7, 2024, Supplier One indicated it was having technical problems related to CBP's electronic filing process, and on October 8, 2024, CBP provided guidance.[27] Furthermore, on October 10, 2024, CBP notified Supplier One that it if was continuing to have technical problems, it could submit its RFI response by email.[28] On October 11, 2024, Supplier One submitted a document with some minimal information related to JBS Trading transactions, and on October 25, 2024, CBP rejected that response due to deficiencies relating to its format and substance.[29] CBP gave Supplier One an additional opportunity to submit an acceptable RFI response, with a new deadline of November 1, 2024, and directed Supplier One to "refer back to the RFI for filing requirements, including necessary certification documents, the need to identify documents as business confidential or public, etc.," and stated Supplier One's rejected October 11, 2024 "submission contains virtually none of the information or documentation requested by CBP in questions in the RFI."[30] However, Supplier One did not submit an RFI response by that deadline.

On September 5, 2024, CBP issued via email an RFI to Supplier Two, with a response due date of September 19, 2024.[31] Supplier Two did not submit a response by that deadline, and on the following day, CBP instructed Supplier Two that it should submit its RFI response by September 26, 2024.[32] Supplier Two did not submit a response by that deadline, either. On October 3, 2024, CBP sent the RFI to Supplier Two via FEDEX, with a new deadline of October 17, 2024.[33]

[23] *See* Sept. 23, 2024, email exchange between JBS Trading and TRLED.
[24] *See* Sept. 5, 2024, email from TRLED to Supplier One, and accompanying RFI.
[25] *See* Sept. 20, 2024, email response by TRLED to Supplier One's September 19, 2024, email to TRLED.
[26] *See* October 7, 2024, email from TRLED to Supplier One.
[27] *See* October 8, 2024, email response by TRLED to Supplier One's October 7, 2024, email to TRLED.
[28] *See* October 10, 2024, email from TRLED to Supplier One.
[29] *See* October 25, 2024, email response by TRLED to Supplier One's October 11, 2024, email and accompanying submission.
[30] *Id.*
[31] *See* Sept. 5, 2024, email from TRLED to Supplier Two, and accompanying RFI.
[32] *See* Sept. 20, 2024, email from TRLED to Supplier Two.
[33] *See* October 3, 2024, RFI and the October 11, 2024, memorandum to the file demonstrating the FEDEX transmission and delivery.

Subsequent to that deadline, on October 18, 2024, Supplier Two submitted a document with some minimal information related to JBS Trading transactions, and on October 25, 2024, CBP rejected that response due to deficiencies relating to format and substance.[34] CBP gave Supplier Two an additional opportunity to submit an acceptable RFI response, with a new deadline of November 1, 2024, and directed Supplier Two to "refer back to the RFI for filing requirements, including necessary certification documents, the need to identify documents as business confidential or public, etc.," and stated Supplier Two's rejected October 18, 2024 "submission contains virtually none of the information or documentation requested by CBP in questions in the RFI."[35] However, Supplier Two did not submit an RFI response by that deadline.

Voluntary Submissions of New Factual Information

Neither party to the investigation made voluntary submissions of new factual information subsequent to the issuance of the NOI.

Written Arguments

On January 8, 2025, the Alleger submitted written arguments.[36] The Alleger stated that JBS Trading failed to cooperate and act to the best of its ability in the investigation because JBS Trading failed to respond to CBP's RFI. In so doing, JBS Trading did not provide information requested by TRLED relating to the entries of the Chinese xanthan gum in question.[37] The Alleger also noted that the information provided by JBS Trading in its CF28 response "did not provide further clarification on the prices of the subject merchandise and did not provide substantial evidence to support the claims that JBS Trading was purchasing [description] xanthan gum or that it had any sort of discount agreement with its suppliers during the POI."[38] The Alleger argues that CBP should apply adverse inferences against JBS Trading due to the absence of evidence on the record regarding the pricing of xanthan gum acquired by JBS Trading. The Alleger notes that an industry official at CP Kelco U.S. had "explain{ed} that even the poorest quality xanthan gum would not be valued less than one-half of the price of standard xanthan gum."[39] The Alleger argues that CBP should apply to the entries of JBS Trading the highest entered value for shipments from Austria during the POI that the Alleger had referenced in its Allegation.[40]

JBS Trading did not submit a response to written arguments.

Analysis

[34] *See* October 25, 2024, email response by TRLED to Supplier Two's October 18, 2024, email and accompanying submission.
[35] *Id.*
[36] See "Xanthan Gum from the People's Republic of China – Written Arguments Regarding JBS Trading LLC," dated January 8, 2025 ("Alleger Written Arguments").
[37] *Id.* at 1-2.
[38] *Id.* at 2.
[39] *Id.* at 2-3.
[40] *Id.* at 4.

Under 19 U.S.C. § 1517(c)(1)(A), to reach a final determination as to evasion, CBP must "make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion." Evasion is defined as "the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material and that results in any cash deposit or other security of any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise."[41] As discussed in this determination and in the NOI, the record of this investigation contains evidence that xanthan gum subject to the *Order* was entered by JBS Trading into the United States through evasion, resulting in the avoidance of applicable AD cash deposits or other security as a result of undervaluation of the merchandise. Based on that evidence, and the application of adverse inferences as a result of JBS Trading's failure to cooperate in the investigation, CBP concludes there is substantial evidence of evasion.

Pursuant to 19 U.S.C. §1517(c)(3) and 19 C.F.R. 165.6(a), CBP may apply an adverse inference if the party to the investigation that filed an allegation, the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with an RFI made by CBP. In applying an adverse inference against an eligible party, CBP may use the facts otherwise available to make a final determination as to evasion pursuant to 19 U.S.C. § 1517(c)(1)(A) and 19 C.F.R. 165.27. Moreover, an adverse inference may be used with respect to U.S. importers, foreign producers, and manufacturers "without regard to whether another person involved in the same transaction or transactions under examination has provided the information sought…." *See* 19 U.S.C. § 1517(c)(3)(B).

The evidence on the administrative record amounts to substantial evidence of evasion by undervaluation, based on adverse inferences drawn and the evidence in the record. Because JBS Trading did not submit an RFI response, despite having been given multiple opportunities to submit such a response, CBP's ability to obtain information for its investigation was impeded significantly. Due to this repeated failure, CBP finds that JBS Trading has not cooperated and complied to the best of its ability with CBP during the underlying investigation.[42] The RFIs issued to JBS Trading and its suppliers included questions and requests for documentation relating to JBS Trading xanthan gum purchases and resales, as well as requests for other information relating to relationships and business interactions between the parties in question that could relate to valuation of merchandise. Accordingly, CBP is drawing inferences adverse to JBS Trading from the information submitted to CBP in the Allegation and other information obtained during CBP's investigation.[43]

In addition to drawing an adverse inference due to JBS Trading and its suppliers' failures to

[41] *See* 19 CFR 165.1; *see also* 19 USC 1517(a)(5)(A).
[42] Note also that an adverse inference may be used with respect to Supplier One and Supplier Two, which also did not cooperate to the best of their abilities, both having failed to submit acceptable RFI responses, as discussed above.
[43] *See* 19 USC 1517(c)(3)(B)-(C); *see also* 19 CFR 165.6(c); *see also* Initiation Memo and NOI.

cooperate in the investigation, CBP is relying on evidence referenced in the NOI, namely:

1) Alleger's evidence of various contemporaneous xanthan gum transactions involving a variety of countries, U.S. ports, U.S. customers, and grades with valuations at least 25 times greater than those identified for JBS Trading;[44]

2) CBP's analysis of available contemporaneous public U.S. import trade data for xanthan gum indicating that the average customs unit value for about 98 percent of the several hundred country/district/month combinations were at least 13 times greater than the $[#] per kilogram unit value of JBS Trading entries (with most of the very few exceptions being those with [comparative description] as those of individual JBS Trading entries);[45] and

3) JBS Trading's original failure to properly declare the entries as of Chinese origin, subject to the *Order*, which itself calls into question other aspects of JBS Trading's characterizations of its entered merchandise.[46]

Determination as to Evasion

Based on the totality of information contained in the administrative record, as referenced in the NOI and JBS Trading and its suppliers' subsequent failure to respond to the RFIs, CBP determines there is substantial evidence that JBS Trading evaded the *Order* by importing xanthan gum of Chinese origin into the United States by undervaluing the merchandise, thereby reducing the antidumping duties applicable to the merchandise. As an adverse inference, CBP is revaluing the imported merchandise at $11.09 per kilogram, the highest average unit value associated with xanthan gum entries of xanthan gum that the Alleger tied to particular shipments of xanthan gum, regardless of country of origin or grade.[47]

Actions Taken Pursuant to the Affirmative Determination as to Evasion

In consideration of CBP's determination that substantial evidence demonstrates that the Importer entered covered merchandise into the customs territory of the United States through evasion, and pursuant to 19 U.S.C. § 1517(d) and 19 CFR 165.28, CBP will suspend or continue to suspend the entries covered by this investigation, until instructed to liquidate. For those entries previously extended in accordance with Interim Measures, CBP will continue to consider those entries as type 03 and continue suspension until instructed to liquidate these entries. CBP may also evaluate the Importer's continuous bond in accordance with CBP's policies. None of the

[44] *See* NOI at 3; *see also* Initiation Memo at 3.
[45] *See* NOI at 4-5.
[46] *Id.* Note that CBP had corrected these misclassifications prior to the initiation of this EAPA investigation. *Id.* at 4.
[47] *See e.g.* Allegation at 7-10. The merchandise associated with that $11.09 per kilogram unit value was identified by the Alleger as food grade merchandise. *Id.* at 7-8. Although JBS Trading, as discussed above, claimed the merchandise it entered had been [action] from [description] grade to [description] grade, the failure of JBS Trading and its supplier to cooperate in the investigation prevented CBP from trying to confirm the accuracy of that claim.

above actions precludes CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,

Victoria Cho
Director
Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
CBP Office of Trade